

common stocks and wholly owned businesses, so Buffett has observed firsthand how inextricably linked are the growth in value of these businesses and the prices of their common stocks. He does not need to look at stock prices every day, because he does not need the market's affirmation to convince him he has made the right investment. As he often states, "I don't need a stock price to tell me what I already know about value."

A side observation as to how this works for Buffett can be found in Berkshire's \$1 billion investment in the Coca-Cola Company in 1988. At the time it was the single-largest investment Berkshire had ever made in a stock. Over the next 10 years, the stock price of Coca-Cola went up tenfold while the S&P 500 index went up threefold. Looking back, we might think Coca-Cola was one of the easiest investments an investor could have made. In the late 1990s, I participated in numerous investment seminars and I always asked the audience, "How many of you owned Coca-Cola over the past 10 years?" Practically all the hands would immediately go up. I then asked, "How many of you got the same rate of return on your Coca-Cola investment as Buffett did?" Sheepishly, people in the audience slowly dropped their hands.

Then I would ask the real question: "Why?" If so many in the audience owned shares of Coca-Cola (they actually made the same investment as Buffett), why did none of them get the same return? I think the answer comes back to myopic loss aversion. During the 10-year period (1989–1998) Coca-Cola did outperform the market, but on an annual basis it outperformed the stock market only six years. By the mathematics of loss aversion, investing in Coca-Cola had a negative emotional utility (six positive emotional units – four negative emotional units $\times$ 2). I can only imagine that those individuals who owned Coca-Cola came into a year when the stock was underperforming the market and they decided to sell. What did Buffett do? He first checked the economic progress of Coca-Cola—still excellent—and continued to own the business.

Ben Graham reminded us that "most of the time common stocks are subject to irrational and excessive price fluctuations in both directions, as the consequence of the ingrained tendency of most people to speculate or gamble—i.e., to give way to hope, fear, and greed."¹⁰ Investors must be prepared, he cautioned, for ups and downs in the market. And he meant